Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231)

Additional Disclosure

Year: Methodology Year: 2022
Question: Risk Governance
Include Modeled Scores : Yes

Risk Governance

Question

Does the company have governance mechanisms in place to oversee risks?

Rationale

For a company's risk management procedures to be effective, risk awareness, concern and management have to stem from the company's senior management and board of directors. While overall responsibility for risk management lies with the board of directors, it is the senior management team's duty to translate the strategic direction set by the board into appropriate policies and procedures and to put in place an effective means of executing and implementing those policies. To ensure that the policies are consistent with the risk tolerance of the company's shareholders, they should be approved by the board.

Performance Summary	
Question Level Company Performance	60
Question Weight	30
Year-on-Year Change	(20)
Industry Average Score	27
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

Key Definitions & Data Requirements

Highest responsible person or committee: Under highest responsible person or committee, the name and position of the person or body with the respective responsibilities should be indicated. Examples of responsible people or committees include: Chief Risk Officer, Risk Committee, Internal Audit and Chief Compliance Officer. **Given that the CEO has ultimate responsibility for all aspects of a company's operations, CEO is not accepted here.**

Reporting Line: Under reporting line, the whole reporting line from the responsible persons or committee up to the executive managers or board of directors should be provided.

Risk appetite: This can be defined as "the amount and type of risk that an organization is willing to take in order to meet its strategic objectives." Organizations will have different risk appetites depending on their industry, culture and objectives. A range of appetites exist for different risks and these may change over time. While risk appetite is about the pursuit of risk, risk tolerance is about what an organization can deal with. Here, companies should enter the highest ranking individual or body in the organization that is responsible for determining the appropriate risk level of the organization, which in most cases would be the Chief Risk Officer or the highest ranking committee in the company responsible for risk management.

Risk monitoring & reporting: This is needed to ensure policies are carried out and processes are executed in accordance with management's selected performance goals and risk tolerances. Here, the highest ranking individual or committee responsible for monitoring risk should be provided. This could be internal audit or any comparable function ensuring an independent assurance that practices are consistent with the company's risk strategy and policies.

Expertise: For the option on expertise in (enterprise) risk management for non-executive directors, it is not expected that a large number of board members would have such experience. However, it is considered beneficial to have at least some members on the board with risk management experience. In many non-financial industries, this would be someone who has worked in operational risk management. It could also include someone with a finance background who has worked in financial risk assessment. Experience on a risk-related board committee alone is not acceptable; rather, the focus is on professional experience that relates to risk management.

Regular education: This relates to risk-specific education & training provided to non-executive directors, ensuring that they are informed about latest-risk management practices and are equipped to assess various forms of risks. Regular refers to education or training that occurs consistently and belongs to the company's scheduled training mechanisms for board members.

Structural independence: This means that the organization's risk function is independent of other business functions, departments or divisions, and serves as a means to address risks throughout the entire organization and not just within a specific department (for example, if the risk management function is a separate reporting pillar altogether or reports directly to the CEO). Structural independence allows for objective monitoring and control of various risks, in the best interest of the entire organization and without the pressure of a potential conflict of interests coming from other business priorities.

Supporting evidence:

- The document(s) you attached will be used to verify your response. The supporting documents do not need to be available in the public domain.
- If a question text field is available, a comprehensive answer in that field can be accepted instead of a supporting document.
- Any response that cannot be verified in the attached document(s) or via the information provided in the related question text field (if available) will not be accepted.

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
People, departments and committees responsible and accountable for enterprise risk management	Applicable
Non-executive members of the board of directors/ supervisory board have expertise in enterprise risk management	YES
Number of non-executive board members with risk management expertise	Not answered
Non-executive board members receive regular education on risk management	-
Risk management function is structurally independent of the business lines	YES

Questionnaire

Please indicate which people, departments and committees are responsible and accountable for enterprise risk management in terms of risk appetite & tolerance as well as risk monitoring & reporting. Please also indicate the expertise and training applicable to non-executive directors as well as the corporate structure of risk management functions. Please provide supporting evidence.

1. (●)

	Please indicate name and position	Reporting line: please indicate who the person or committee reports to
Highest ranking person with dedicated risk management responsibility on an operational level (not CEO)		
Highest ranking person with responsibility for monitoring and auditing risk management performance on an operational level (not CEO)		

   1. [x] Number of non-executive members of board of directors/supervisory board with expertise in (enterprise) risk management. Please specify number of non-executive directors and provide supporting evidence.
      Not answered
   2. [ ] Regular risk management education for non-executive directors ensured. Please specify and provide supporting evidence.
   3. [x] The risk management function is structurally independent of the business lines. Please specify and provide supporting evidence.
2. ( ) There are no such responsibilities in place
3. ( ) Not applicable. Please provide an explanation in the comment box below.
4. ( ) Not known

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.